Geography Deep Dive: Regional Performance Analysis

SECTION 1

Business Problem

Problem with a national-only view
Looking at overall company performance **masks regional differences**. A 15% national sales growth might hide one region growing 40% while another declines 10%, strong Tier 1 performance masking Tier 2/3 struggles, and format performance varying by location. This analysis breaks performance down by region, city, tier and store format.

20-26%	+55-65%	39%	86.45%
YoY growth, all 5 regions	New customer growth	Revenue from top 5 cities	Revenue from top 15 cities

SECTION 2

Regional Performance Overview

What this reveals
Compares year-over-year performance across all five regions to identify growth leaders and laggards.

Key findings

- **West:** **+26.45% sales growth** - leading performer with strong transaction growth (+23.2%) and customer acquisition (+59.84%)
- **South:** +24.85% sales growth - close second with excellent customer growth (+61.4%), indicating strong market penetration
- **North:** +24.62% sales growth - largest region by transaction volume (113K transactions) with the highest customer base growth (+64.67%)
- **East:** +23.06% sales growth - solid performance with consistent transaction and customer growth
- **Central:** **+20.32% sales growth** - moderate growth but still positive across all metrics

What this means

All five regions are experiencing positive growth, indicating healthy nationwide expansion. West and South are outperforming with 25%+ growth rates. All regions show higher transaction growth than sales growth, suggesting customers are buying more frequently but with slightly smaller baskets (average ticket is relatively flat). Strong customer acquisition across all regions (**+55% to +65%**) indicates successful new customer recruitment.

SECTION 3

Top and Bottom Performing Cities

What this reveals
Identifies the highest and lowest growth cities to spotlight success stories and improvement opportunities.

Top performers (27-33% growth)

- **Noida (North):** **+32.7%** - Tier 1 metro, supermarket format, highest absolute sales (₹28.1M)
- **Nagpur (West):** +32.3% - Tier 2 city, fresh format, exceptional performance
- **Bangalore (South):** +31.64% - Tier 1 metro supermarket, second highest sales (₹29.7M)
- **Indore (Central):** +31.62% - Tier 2 fresh format, strong emerging market potential
- Common pattern: fresh format stores and Tier 1 supermarkets dominate the top performers

Bottom performers (11-22% growth)

- **Jabalpur (Central):** **+11.44%** - Tier 3 express format struggling with single-digit transaction growth
- **Raipur, Dehradun, Mysore, Kochi:** all 17-18% growth, still positive but below average
- Common pattern: express formats and Tier 3 cities appear more often in the bottom performers

Strategic insights

- Even bottom performers show double-digit growth - no markets are declining
- Fresh format stores punch above their weight in Tier 2 cities (Nagpur, Indore, Coimbatore)
- Tier 1 supermarkets deliver consistent high performance with large transaction volumes
- Tier 3 express stores need attention - consider format optimization or targeted promotions

SECTION 4

Store Format Performance by Region

What this reveals
Analyzes how different store formats (Supermarket, Express, Fresh) perform across regions.

Supermarket format (highest revenue)

- Dominates sales with ₹979-₹1,003 average tickets across regions
- Strongest in West (+26.55%) and South (+25.18%)
- Generates ₹25-28M sales per store; premium format with highest customer spending

Fresh format (highest growth)

- Best growth rates: Central +31.62%, West +32.3%, East +24.59%
- Lower average ticket (₹689-₹748) but strong customer appeal
- Generates ₹10-12M per store; strong potential in Tier 2 markets

Express format (needs attention)

- Lowest average tickets (₹523-₹543)
- Slower growth: Central +14.56%, North +20.88%
- Generates ₹7-9M per store; convenience-focused but underperforming

Strategic implications

- **Fresh format is the growth engine** - consider expansion in Tier 2 cities
- Supermarkets deliver consistent premium performance in metro areas
- **Express format may need repositioning** - evaluate product mix and pricing
- Format selection should align with city tier and local market dynamics

SECTION 5

Tier Performance Analysis

What this reveals
Compares performance across city tiers (Tier 1 metros, Tier 2 emerging cities, Tier 3 smaller markets).

Tier 1 cities (5 metros): +27.77% growth

- Highest absolute revenue: ₹142.6M current year
- Premium average ticket: ₹1,012.79 (vs ₹1,000 prior year)
- Strong transaction growth: +26.18%
- Most valuable customer segment, with the highest spending per transaction

Tier 2 cities (12 cities): +22.73% growth

- Largest contributor by volume: ₹188.7M current year
- Middle-market average ticket: ₹805.65
- Solid transaction growth: +20.21%
- Scale opportunity - 12 cities vs 5 Tier 1 metros

Tier 3 cities (4 cities): +17.16% growth

- Smallest revenue base: ₹32.5M
- Value-conscious customers: ₹530.51 average ticket
- Transaction growth lags: +13.93%
- Price-sensitive markets requiring different assortment and pricing

Key insights

- **Tier 1 cities show the strongest momentum** with the highest per-customer value
- **Tier 2 cities offer the best volume opportunity** - balance of growth rate and scale
- **Tier 3 cities need targeted strategies** - lower prices, smaller pack sizes, essential categories
- Average ticket increases with tier, suggesting income-correlated purchasing power
- Consider tier-specific merchandising and promotional strategies

SECTION 6

Monthly Sales Trends by Region

What this reveals
Shows month-over-month sales patterns across regions to identify seasonality and momentum.

Seasonality patterns

- **Peak month: October** shows the highest sales across all regions (festival season)
- Low month: February typically shows lower sales (shorter month, post-holiday lull)
- Growth trajectory: May 2026 sales consistently outperform May 2025 across all regions

Regional patterns

- North consistently highest: leads in absolute monthly sales (₹15-21M range)
- South and West competitive: close second and third throughout the year
- East and Central smaller: lower absolute values but growing consistently

Average ticket trends

- Generally stable: most regions maintain ₹700-₹885 average tickets
- Slight upward trend in 2026 vs 2025 in recent months
- North and West show higher average tickets than Central and East

Business implications

- Plan inventory and staffing for October festival peaks
- February requires promotional activity to maintain momentum
- Consistent month-over-month growth indicates a healthy business trajectory
- Regional strategies should account for local festival calendars and seasonal variations

SECTION 7

Category Preference by Region

What this reveals
Identifies which product categories perform best in each region, revealing regional customer preferences.

Universal top 3 (same across all regions)

- **Tea & Coffee:** #1 or #2 in every region, ₹21-35M sales
- **Rice & Grains:** #1 or #2 in every region, ₹20-35M sales
- **Cooking Oil & Ghee:** consistent #3 across all regions, ₹12-20M sales

Regional patterns

- North leads in all three: Tea & Coffee (₹34.5M), Rice & Grains (₹34.7M), Cooking Oil (₹20.2M)
- Average selling prices are remarkably similar across regions: Tea & Coffee ₹214-₹218, Rice & Grains ₹443-₹456, Cooking Oil ₹264-₹268 per unit

Key insights

- Staples dominate: the top 3 categories are daily essentials, not discretionary items
- Minimal regional price variation suggests an effective national pricing strategy
- High unit sales (46K-158K units) indicate strong distribution and availability
- These three categories deserve premium shelf space and deep assortments in all stores
- Local preferences are secondary: core needs are universal

Strategic recommendations

- **Ensure these three categories never stock out** - they drive store traffic
- Consider private label expansion in these high-volume, loyalty-building categories
- Use them as loss leaders or promotional anchors to drive basket size

SECTION 8

Top Cities by Sales Volume

What this reveals
Identifies the highest revenue-generating cities and their contribution to overall business.

Top 5 cities generate 39% of total revenue

- Bangalore (South): ₹29.7M (8.17%) - highest revenue city
- Kolkata (East): ₹29.3M (8.06%)
- Pune (West): ₹29.0M (7.96%)
- Noida (North): ₹28.1M (7.72%)
- Chandigarh (North): ₹26.5M (7.29%)

Top 15 cities represent 86.45% of business

- Strong concentration but not over-dependent on a few markets
- All top 15 are Tier 1 metros or large Tier 2 cities
- Mix of regions - no single region dominates the top

Key observations

- **No single city exceeds 10% of revenue** (Bangalore leads at 8.17%) - a healthy distribution that reduces single-market risk
- Top cities have premium tickets of ₹959-₹1,035; Tier 1 metros (Bangalore, Kolkata, Pune, Noida) cluster at ₹990-₹1,040; Tier 2 cities (Surat, Jaipur, Kochi) at ₹959-₹992

Strategic implications

- **80/20 rule in effect**: top 15 cities (71% of footprint) drive 86% of revenue
- Top 15 cities deserve disproportionate management attention
- Don't neglect the rest: remaining cities show growth potential (20%+ in bottom performers)
- Success in Tier 2 cities (Surat, Jaipur, Indore) suggests opportunity in similar markets

SECTION 9

Summary and Strategic Recommendations

The business demonstrates strong growth across all geographic dimensions with no declining markets: 20-26% YoY growth across all five regions, balanced expansion across regions, cities and tiers, and 55-65% new customer growth indicating successful market penetration.

Key Strategic Priorities

1 Double down on winners

- West and South leading at 25%+ growth - study and replicate their strategies
- Fresh format stores showing exceptional performance (28-32% growth) - accelerate expansion in Tier 2 cities
- Top 15 cities drive 86% of revenue - ensure operational excellence and premium customer experience

1 Optimize format-location fit

- Supermarkets: proven winners in Tier 1 metros (average ticket ₹1,000+)
- Fresh format: best growth vehicle for Tier 2 expansion
- Express format: needs repositioning - evaluate product mix, pricing and service model
- Avoid one-size-fits-all: tailor format selection to city tier and demographics

1 Tier-specific strategies

- Tier 1 (27.7% growth): premium positioning, widest assortment, focus on basket size growth
- Tier 2 (22.7% growth): scale opportunity with 12 cities - balance quality and value
- Tier 3 (17.2% growth): value-focused approach with essential categories and smaller pack sizes

1 Category management

- Protect the core: Tea & Coffee, Rice & Grains, Cooking Oil dominate across all regions
- Never stock out: these staples drive traffic - ensure 99%+ in-stock rates
- Private label opportunity: high-volume staples are ideal for margin-accretive private brands
- Localized assortment: minor regional preferences exist - use space for local favorites

1 Geographic expansion roadmap

- Near-term: expand Fresh format in Tier 2 cities similar to Nagpur, Indore, Coimbatore
- Medium-term: add Tier 1 supermarkets in underserved metros
- Long-term: selectively enter Tier 3 markets with Express format where demographics support it
- Avoid: over-expansion in slower-growth markets without understanding root causes

1 Address underperformers

- Jabalpur, Raipur, Dehradun: Tier 3 express stores at 11-17% growth need diagnosis - execution, competition or market saturation?
- Consider format conversion, merchandising refresh or promotional support
- Express format broadly: 15-20% growth vs 25-30% for Fresh/Supermarket - evaluate whether it is fit-for-purpose
- Test a convenience-plus model with ready-to-eat, services and faster checkout

Risk Mitigation

- Concentration: top 5 cities = 39% of revenue. Not excessive, but monitor for over-dependence
- Regional balance: ensure Central and East get adequate investment despite smaller current scale
- Format risk: Express underperformance could accelerate - act proactively
- Seasonality: October peaks require supply chain and staffing flexibility